

EXECUTIVE BUSINESS RECOMMENDATIONS

Olist E-Commerce Customer & Revenue Diagnostic

Prepared for: Executive Leadership (CEO / CFO briefing format)

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Source analysis: github.com/pybehnamshayan/olist-e2e-project

This report translates a full-stack data analytics engagement — data warehousing, RFM segmentation, and churn intelligence on the Olist Brazilian e-commerce dataset — into a business-facing diagnosis, quantified revenue opportunity, and a 90-day action plan.

SECTION 1

Current Business Situation

The business currently generates **\$3.75M** in analyzed revenue. Customers were segmented using RFM (Recency, Frequency, Monetary) methodology into six behavioral groups. The distribution below is the single most important fact in this report: the customer base is skewed toward risk, not loyalty.

Segment	Customers	Share of Base
At Risk	22,967	26.4%
Others	19,063	21.9%
Loyal Customers	16,441	18.9%
Lost Customers	15,463	17.8%
Potential Loyalists	15,450	17.8%
Champions	6,712	7.7%

Champions — the segment that historically drives disproportionate revenue — make up only **7.7%** of the customer base, while At Risk and Lost customers together make up **44.2%**. Sales activity is also front-loaded: Monday and Tuesday generate the highest volume, with weekend performance significantly lower, and revenue is concentrated in a small number of categories and products (Bed & Bath, Health & Beauty, Computer Accessories lead category revenue).

Bottom line: this is not a demand problem. It is a retention and lifecycle-management problem — the business is acquiring and then losing high-value customers faster than it is converting them into loyal, repeat buyers.

SECTION 2

Top 5 Problems

- 1 Complete loss of Champion customers in two categories.** telefonia_fixa and cool_stuff show 100% Champion-customer loss — the highest-value buyers in these lines are gone entirely.
- 2 Negative-ROI categories.** In ferramentas_jardim and moveis_escritorio, lost revenue exceeds currently active revenue — these categories are net-shrinking, not just underperforming.
- 3 Customer base skewed toward risk.** 44.2% of customers sit in At Risk or Lost segments versus just 7.7% Champions — the funnel is leaking faster than it is compounding loyalty.
- 4 Revenue concentration risk.** A small set of categories and products (a classic Pareto pattern) generates a disproportionate share of revenue, leaving the business exposed if any one weakens.
- 5 No visible systematic retention program.** The \$2.47M gap between current revenue (\$3.75M) and maximum potential revenue (\$6.21M) is the financial signature of unmanaged churn, not a lack of underlying customer demand.

SECTION 3

Revenue at Risk

A dedicated comparison of Champion customers versus Lost high-value customers quantifies exactly how much revenue is on the table if retention is not addressed.

+65.8%

Revenue upside if high-value customers had been retained

Metric	Value
Current Revenue	\$3.75M
Lost Revenue Opportunity	\$2.47M
Maximum Potential Revenue	\$6.21M

The \$2.47M figure is not speculative upside — it is revenue the business has already demonstrated it can generate from these customers, and subsequently lost. It should be treated as the primary number the executive team tracks each quarter going forward.

SECTION 4

Revenue Opportunities

- **High-value win-back (largest lever):** recovering even a portion of the \$2.47M lost-opportunity pool directly closes the gap to the \$6.21M potential ceiling.
- **Category-specific reactivation:** targeted Champion win-back campaigns in telefonia_fixa and cool_stuff, where Champion loss is total (100%).
- **Weekday-weighted promotion redesign:** shifting a portion of marketing spend and offers toward the underperforming weekend window to flatten the Monday/Tuesday-heavy demand curve.
- **Cross-sell from anchor categories:** using the top five revenue categories (Bed & Bath, Health & Beauty, Computer Accessories, Home Decoration, Watches & Gifts) as bundling anchors to lift weaker categories.
- **Replicating proven retention behavior:** utilidades_domesticas and automotivo already show the best retention performance in the portfolio — their tactics are internal best practice, not a hypothesis, and should be studied and exported to weaker categories.

SECTION 5

Customer Retention Strategy

Retention should be run as a segment-specific playbook rather than a single blanket campaign — each RFM segment needs a different offer, channel, and urgency level.

Segment	Size	Strategy
Champions	6,712	VIP treatment, loyalty perks, early access — protect at all costs
Loyal Customers	16,441	Upsell and cross-sell; move toward Champion status
Potential Loyalists	15,450	Nurture with targeted onboarding and second-purchase incentives
At Risk	22,967	Highest-priority win-back — largest segment, still recoverable
Lost Customers	15,463	Selective, low-cost reactivation; deprioritize low-value cases
Others	19,063	Improve data/behavioral tagging to route into an actionable segment

Two structural additions are recommended: (1) an **early-warning trigger** that flags customers moving from Loyal/Potential Loyalist into At Risk before they reach Lost status — since At Risk is the single largest segment and the cheapest one to save — and (2) **category retention squads** for telefonia_fixa, cool_stuff, ferramentas_jardim, and moveis_escritorio, the four categories where churn is most severe.

SECTION 6

Product Strategy

- **Protect the core:** defend and continue investing in the top five revenue categories (Bed & Bath & Table \$3.42M, Health & Beauty \$3.31M, Computer Accessories \$3.17M, Home Decoration \$2.86M, Watches & Gifts \$2.85M) — these fund the rest of the strategy.
- **Resolve the contradiction in top revenue products:** telefonia_fixa and ferramentas_jardim appear among the top revenue-generating product lines by historical volume, yet also show total Champion loss or negative retention economics — these need an immediate root-cause review before further acquisition spend is allocated to them.
- **Fix-or-sunset decision for negative-ROI categories:** ferramentas_jardim and moveis_escritorio should be given a defined remediation window (see 90-Day Plan); if retention does not recover, reallocate their marketing budget to higher-performing categories.
- **Bundle to lift weak categories:** pair underperforming lines with top-5 anchor categories in cross-sell offers rather than marketing them in isolation.

SECTION 7

Recommended Actions

- 1 Launch a Champion win-back campaign specifically for telefonia_fixa and cool_stuff customers.
- 2 Deploy an At Risk early-warning trigger so customers are engaged before they migrate to Lost — this is the single highest-leverage, lowest-cost action available (largest segment, still recoverable).
- 3 Commission a root-cause review of ferramentas_jardim and moveis_escritorio economics (pricing, fulfillment, product quality, or competition) before deciding to fix or sunset each line.
- 4 Pilot a weekday-weighted promotional calendar to test lifting weekend sales performance.
- 5 Document and formally replicate the retention tactics already working in utilidades_domesticas and automotivo across the rest of the category portfolio.
- 6 Stand up a single executive Power BI dashboard that tracks segment migration (Champion → Loyal → At Risk → Lost) monthly, so retention becomes a tracked KPI rather than a one-time analysis.

SECTION 8

Expected Financial Impact

The table below models incremental revenue under three illustrative recapture scenarios against the \$2.47M lost-opportunity pool identified in Section 3. These are planning scenarios to size the opportunity for budgeting purposes, not a guaranteed forecast.

Scenario	Recapture Rate	Incremental Revenue	New Total Revenue
Conservative	10%	\$247K	\$3.997M
Moderate	25%	\$618K	\$4.368M
Aggressive	50%	\$1.235M	\$4.985M

Even the conservative scenario — recovering just one in ten at-risk revenue dollars — represents a 6.6% uplift to current revenue at a fraction of the cost of new-customer acquisition, since these are customers the business has already won once.

SECTION 9

Priority Matrix

Actions are ranked by business impact against implementation effort to guide sequencing.

Action	Impact	Effort	Priority
At Risk early-warning trigger	High	Low	1 — Do first
Champion win-back (telefonos_fixa, cool_stuff)	High	Medium	2
Root-cause review (ferramentas_jardim, moveis_escritorio)	High	Medium	2
Replicate retention tactics (utilidades_domesticas, automotivo)	Medium	Low	3
Executive segment-migration dashboard	Medium	Low	3
Weekday-weighted promotion pilot	Medium	Medium	4
Cross-sell bundling redesign	Medium	High	5

SECTION 10

90-Day Action Plan

Days 1–30: Diagnose & Instrument

Build the measurement foundation so every later action can be tracked against a baseline.

- Stand up the executive segment-migration dashboard (Champion → Loyal → At Risk → Lost).
- Deploy the At Risk early-warning trigger into the CRM / marketing automation workflow.
- Complete the root-cause review of `ferramentas_jardim` and `moveis_escritorio`.
- Document the retention playbook currently working in `utilidades_domesticas` and `automotivo`.

Days 31–60: Pilot

Run controlled pilots on the two highest-priority levers before committing full budget.

- Launch the Champion win-back pilot in `telefonica_fixa` and `cool_stuff` with a defined test/control group.
- Pilot the weekday-weighted promotional calendar in one region or category.
- Apply the documented `utilidades_domesticas` / `automotivo` retention tactics to one weak category as a test.

Days 61–90: Scale & Decide

Convert what worked into standing process; make the fix-or-sunset call on negative-ROI categories.

- Scale the win-back campaign to all At Risk customers in the top five revenue categories.
- Make the fix-or-sunset decision on `ferramentas_jardim` and `moveis_escritorio` based on pilot results.
- Roll out the best-performing retention tactic across the full category portfolio.
- Present the first quarterly review against the \$2.47M recapture target to leadership.

Prepared by Behnam Shayan, based on independent analysis of the Olist Brazilian E-Commerce public dataset. Full technical methodology, data model, and notebooks: github.com/pybehnamshayan/olist-e2e-project